

Reinsurers Brace for Deeper Rate Cuts at January Renewals

Week of 2026-09-08 – 2026-09-14 · Segment: Reinsurance

WHAT HAPPENED

KBW: Property-Cat Reinsurance Rates to Fall at Least 10% at Jan 1, 2027 Renewals

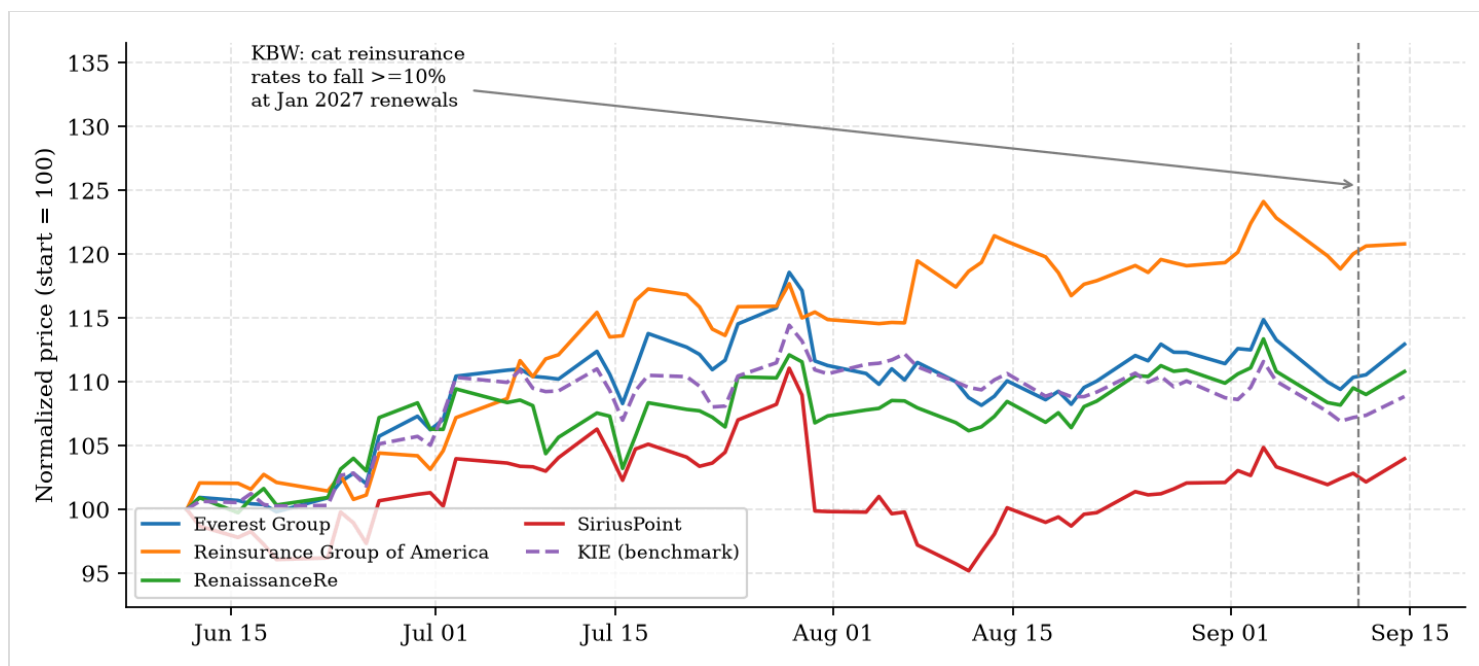
Reported September 11, 2026

Keefe, Bruyette & Woods said reinsurance executives it met with at the 2026 Rendez-Vous de Septembre in Monte Carlo expect property catastrophe excess-of-loss rates to decline by at least 10% at the January 1, 2027 renewals, extending a softening cycle that has run through the January and June 2026 renewals. KBW noted current pricing carries "significantly less excess margin than it did previously," and one broker's modeling found it would take \$200 billion in catastrophe losses, a 200-basis-point rate rise, and heavy adverse reserve development to flip the market from further cuts to price increases.

KEY NUMBERS

Company / Index	Value	Change (1W)
Everest Group (EG)	\$379.76	-0.3%
Reinsurance Group of America (RGA)	\$249.07	-1.7%
RenaissanceRe (RNR)	\$330.36	-0.0%
SiriusPoint (SPNT)	\$24.63	+0.6%
KIE (SPDR S&P Insurance ETF)	\$63.21	-1.1%

MARKET REACTION



Everest Group, Reinsurance Group of America, RenaissanceRe, and SiriusPoint against the KIE benchmark (dashed), normalized to 100 at the start of the trailing 3-month window. Dashed vertical line marks the Sept 11 KBW rate outlook; all four reinsurer names were roughly flat to slightly down on the week, consistent with a well-telegraphed softening outlook rather than a surprise.

INDUSTRY CONTEXT

Historical parallel: The 2017 hurricane season (Harvey, Irma, Maria) hardened the reinsurance market for years afterward — heavy losses pushed rates up sharply and kept them elevated into the early 2020s. Today's cycle is the mirror image: two years of below-average catastrophe losses (Swiss Re put H1 2026 insured cat losses at \$42 billion, the lowest first-half total since 2020) have let capital rebuild and rates soften, the same supply-and-demand mechanism running in reverse.

ALSO THIS WEEK

- **PROPERTY & CASUALTY** — Triple-I/Milliman project US P&C insurers' underlying growth falling to -3.7% in H1 2026, down from +1.6% in 2025, as catastrophe exposure and inflation weigh on premium growth even as underwriting margins improve. Report published May 21, 2026 — older than this week's window, included because it's the underlying data behind ongoing H2 2026 coverage of the same trend. Insurance Journal, May 21, 2026
- **REINSURANCE / ILS** — Non-life alternative reinsurance capital grew 9% in H1 2026 to a record \$147 billion, per Gallagher Re, as catastrophe bond issuance hit a record ~\$18 billion for the half and outstanding cat bonds reached \$65.6 billion — capacity growth that's a direct driver behind this week's top story on softening rates. Artemis.bm, Sept 1, 2026
- **INSURTECH / AUTO** — Digital-first insurer Clearcover launched a new auto insurance product in Florida alongside a "26 for '26" agent incentive program (running May-December 2026), aiming to expand

affordable coverage access in a historically hard-to-write state. Launch reported April 30, 2026.
FinTech Global, April 30, 2026

- **REGULATION** — The Financial Stability Board's consultation on "Sound Practices for Responsible Adoption of Artificial Intelligence" — covering AI use in underwriting and claims — closed its comment period July 22, 2026; a final report is due October 2026. Published June 10, 2026. FSB, June 10, 2026

Sources: Reinsurance News, Sept 11, 2026, Business Insurance, Sept 2026, Artemis.bm (Swiss Re), Aug 2026, Insurance Journal, May 21, 2026, Artemis.bm, Sept 1, 2026, FinTech Global, Apr 30, 2026, FSB, June 10, 2026 · Market data: Yahoo Finance, as of 2026-09-14.